

 Masterclass Day 10

The Settlement Process

Behind the scenes: What happens after you click "Buy" or "Sell"?

The T+1 Settlement Cycle

T+1

TRADE + 1 DAY

The Speed of Modern Finance

When you buy a stock on Monday (T Day), you do not actually own it that exact second. The exchange takes time to process the trade.

India is one of the first major global economies to shift entirely to a **T+1 settlement cycle**.

What it means: If you buy on Monday (T), the shares will officially hit your Demat account, and the money will leave your bank, by Tuesday (T+1).

Holding Real Assets: **Delivery (CNC)**

Delivery trading, often marked as CNC (Cash n Carry) on your broker app, is the classic method of investing.

- » **Full Payment:** You must have 100% of the cash in your trading account to buy the shares. No borrowing allowed.
- » **True Ownership:** After T+1, these shares are delivered to your Demat account. You are now an official shareholder.
- » **Holding Period:** You can hold them for 2 days, 2 years, or 20 years. There is zero pressure to sell.



The Adrenaline Rush:

Intraday (MIS)

Intraday (Margin Intraday Square-off) is pure trading, not investing. You buy and sell the stock **on the exact same day**.

No Delivery: Because you close the position before 3:20 PM, the shares never actually reach your Demat account.

Leverage (Margin): Brokers often give you 5x leverage. With ₹10,000, you can buy ₹50,000 worth of shares. It multiplies your profits, but also dramatically multiplies your losses.



The Penalty Zone: **Auction Market**



What happens when you default?

Imagine you sell a stock from your Demat account, but due to a glitch or a short-selling error, you fail to deliver the actual shares on T+1 day. This is called a **Short Delivery**.

The exchange steps in to protect the buyer. They conduct a special **Auction Market** session to forcefully buy those missing shares for the buyer.

The Catch: You (the defaulter) have to pay for the auction price, plus heavy penalty fees. Never sell shares you don't actually hold!

Rewards & Adjustments: **Corporate Actions**

Corporate actions are events initiated by a public company that bring material change to its stock and its shareholders.

- » **Dividends:** A portion of company profits distributed directly to your bank account.
- » **Stock Splits:** Dividing existing shares into multiple ones (e.g., 1 share of ₹100 becomes 10 shares of ₹10) to increase liquidity.
- » **Bonus Issues:** Free additional shares given to existing shareholders out of company reserves.

Note: All of these actions are adjusted in your Demat automatically based on the 'Record Date'.



Great Job on Day 10!

Tomorrow: Financial Statements.

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